At this point, I turn around to the German trader, who unlike me had lots of experience, and show him my trades and say, “I’ve done these trades; what price should I make now?” He looks at me like I am a complete imbecile. Meanwhile, the phone is ringing. He picks up the phone. I was going to make the next price 41½/42½. He makes the price 36/37 and still gets hit with an offer at 36. So I had been making the totally wrong prices. I had no clue to what was going on. But I learned a very valuable lesson from that experience: The price is where anyone is prepared to deal, and it can be anything. I had one year of experience and had seen only a limited amount of volatility. In my mind, I couldn’t comprehend changing the price by more than $1, let alone $6, which is nearly a 15 percent change. I had never witnessed that before. Actually, not many people had ever seen anything similar before.

**Where was the market price? You weren’t determining the market price, were you?**

Oh, I was determining the price. All the systems were down. So I was getting calls from people asking me the price.

**Weren’t other people making a market in the stock?**

There were other market makers, but you couldn’t see their prices.

**So the German trader understood the market was falling out of bed.**

After he looked at my trades he told me, “Your position is growing. You cannot afford to let your next trade be a purchase. Whatever you have to do, you need to make sure that your next trade is a sell.” He quoted the price down by $6 and still ended up buying.

**What about the long inventory you came in with at the start of the day?**

You couldn’t do anything that day. You just had to ride the whole thing down.

**What about people who called wanting to sell? As a market maker, did you have to facilitate the trade?**

You just quoted the prices down to a point where you didn’t buy any more.